

DEMONSTRATION CONTENT - Helios Semiconductor Inc. is a fictional company invented for the FORGE sample data set. Every figure below is illustrative and must not be used for any real analysis.

1. Summary

Helios Semiconductor Inc. reported Q3 FY2026 revenue of 4.12 billion USD, up 41% year over year and 9% sequentially. Data centre accelerators contributed 3.05 billion USD of that total, the first quarter in which the segment passed 70% of group revenue. Gross margin expanded 240 basis points year over year to 58.4%, which management attributed to a richer mix of rack-scale systems rather than to pricing.

Management guided Q4 FY2026 revenue to a range of 4.35 to 4.55 billion USD. The midpoint implies 7.5% sequential growth, a deceleration from the 9% posted this quarter. The company described its supply position as "improving but still the binding constraint" on shipments.

2. Segment detail

Data centre: 3.05 billion USD, +62% year over year. Management said the segment is now supply constrained rather than demand constrained, and that lead times on the flagship HX-9 accelerator remain above 20 weeks.

Networking: 610 million USD, +18% year over year. The attach rate of Helios networking to Helios accelerators rose to 47% from 39% a year ago.

Client and embedded: 460 million USD, -6% year over year. Management characterised this segment as "stable but not a priority for incremental capacity".

3. Margins and operating leverage

Operating expenses grew 22% year over year, well below revenue growth, producing 810 basis points of operating margin expansion. R&D remained 19% of revenue. The company reiterated its long-term operating margin target of 34% to 36%.

Inventory rose 28% sequentially. The CFO said the build was deliberate and tied to the HX-9 ramp, and that days of inventory would normalise by Q2 FY2027. This is the single line item that most deserves follow-up next quarter.

4. Capital allocation

Free cash flow was 1.28 billion USD, a 31% margin. The company repurchased 400 million USD of stock and did not initiate a dividend. Net cash stood at 5.4 billion USD.

5. Risks flagged by management

Power availability at customer sites was named as a gating factor for deployments for the second consecutive quarter. Management said several customers had "energised capacity scheduled for calendar 2027 that we would ship into today if it existed".

Customer concentration remains elevated: the top three customers accounted for 44% of revenue, up from 38% a year ago.

A competing accelerator programme from a large integrated device manufacturer is expected to sample in the first half of calendar 2027. Management declined to comment on it.

6. What would change the view

The thesis depends on the data centre segment holding above 55% gross margin while the HX-9 ramps. Two consecutive quarters of sequential gross margin compression, or a book-to-bill below 1.0, would materially weaken it.

Conversely, evidence that the networking attach rate passes 55% would suggest the platform is becoming harder to displace than the current multiple implies.